Lecture 1: Monday 2 February 2026

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Review questions for Perkins et al., chapters 1 and 2 and Spence (2021)

1. Give some reasons why GDP may fail to measure value added in a country.

2. Briefly explain the difference between exchange rate conversion and PPP conversion of GDP.

3. Using the information in PRLB Table 2-1, use Indian prices to calculate GDP for US and India in PPP Rupees. Comment on the result relative to using US prices and USD.

4. Explain the so-called Easterlin paradox.

5. Explain briefly whether the Washington Consensus was consistently grounded in economic theory or should more be considered as a policy paradigm.

6. Outline the six common elements of sustained growth experiences, and highlight which channel was under-emphasized in the Washington Consensus strategy.

TABLE 2-1 Market Exchange Rate Versus Purchasing Power Parity Methods of Converting GDP

	UNITED STATES			INDIA		
	QUANTITY	PRICE (US$)	VALUE OF OUTPUT (BILLION US$)	QUANTITY	PRICE (RUPEES)	VALUE OF OUTPUT (BILLION RUPEES)
Steel (million tons)	200	1,000 per ton	200	25	50,000 per ton	1,250
Retail sales personnel (millions)	2	20,000 per person per year	40	4	60,000 per person per year	240
Total GDP (local currency, billions)			240			1,490

Market exchange rate based on steel prices = Rs 50,000/$1,000 or Rs 50 = US$1.

1. India's gross domestic product (GDP) in U.S. dollars calculated by using the official exchange rate: Rs 1,490 billion/Rs 50 = US$29.8 billion.

2. India's GDP in U.S. dollars calculated by using U.S. prices for each individual product or service and applying that price to India's quantities (that is, using purchasing power parity [PPP]):
   Steel: 25 million tons × $1,000/ton = $25 billion
   Retail sales personnel: 4 million people × $20,000/person = $80 billion
   GDP: $25 billion + $80 billion = $105 billion

3. Ratio of PPP calculation of India's GDP to official exchange rate calculation: $105 billion/$29.8 billion = 3.5

TABLE 2-3 Rate of GDP per Capita Growth (Percent/Year)

	1970s	1980s	1990s	2000s
East Asia and Pacific	5.0	6.4	6.1	8.6
Europe and Central Asia	4.4	1.5	−2.9	5.7
Latin America and Caribbean	3.0	−0.3	1.7	2.5
Middle East and North Africa	3.0	−1.1	0.8	2.9
South Asia	1.2	3.5	3.8	5.7
Sub-Saharan Africa	1.1	−1.2	−0.2	2.6
High income	2.4	2.5	1.8	1.3

Sources: World Bank, *World Development Report 1995* (New York: Oxford University Press, 1995). World Bank, *World Development Report 2000/2001* (New York: Oxford University Press, 2001). World Bank, *World Development Report 2011* (Washington, DC: World Bank, 2011).